

News

MOODY'S CORPORATION FOURTH QUARTER AND FULL YEAR 2022 EARNINGS CONFERENCE CALL

TUESDAY, JANUARY 31, 2023

ROB FAUBER, SHIVANI KAK

Shivani Kak:

Thank you. Good afternoon, and thank you for joining us today. I am Shivani Kak, Head of Investor Relations. This morning, Moody's released its results for the fourth quarter and full year of 2022, our outlook for full year 2023 and an update on our medium-term targets. The earnings press release and a presentation to accompany this teleconference are both available on our website at ir.moody.com.

During this call, we will also be presenting non-GAAP, or adjusted, figures. Please refer to the tables at the end of our earnings press release filed this morning for a reconciliation between all adjusted measures referenced during this call and U.S. GAAP.

I call your attention to the "Safe Harbor" language, which can be found toward the end of our earnings release. Today's remarks may contain forward-looking statements within the meaning of the Private Securities Litigation Reform Act of 1995. In accordance with the Act, I also direct your attention to the "Management's Discussion and Analysis" section and the risk factors discussed in our Annual Report on form 10-K for the year ended December 31, 2021 and in other SEC filings made by the Company, which are available on our website and on the SEC's website. These, together with the "Safe Harbor" statement, set forth important factors that could cause actual results to differ materially from those contained in any such forward-looking statements.

I would also like to point out that members of the media may be on the call this morning in a listen-only mode.

Rob Fauber, Moody's President and Chief Executive Officer, will provide an overview of our results, key business highlights and outlook, after which he'll be joined by Mark Kaye, Moody's Chief Financial Officer, to answer your questions. I will now turn the call over to Rob.

Rob Fauber:

Thanks, Shivani. Good afternoon and thanks to everyone for joining today's call.

I'm going to start with some key takeaways from our 2022 results and then look ahead to what we're expecting for 2023 before we take your questions.

Our fourth quarter and full year 2022 financial results demonstrate the positive momentum and resilience of MA, while at the same time reflecting the impact of challenging market conditions on MIS.

MA had a very strong finish to the year, delivering its 60th consecutive quarter of growth and 10 percent ARR growth. Revenue grew 15 percent for the year and, for the first time, MA's full year adjusted operating margin exceeded 30 percent, and those are results that achieved the rule of 40 distinction.

MIS generated \$2.7 billion dollars in revenue as it weathered a challenging year for issuance, and we continue to advance our ratings franchise to ensure we are well-positioned to capture future issuance growth.

During the fourth quarter, we executed on the expanded expense management program that we announced in October, that's expected to deliver over \$200 million dollars in annualized savings in 2023, and it really significantly strengthens our financial position and flexibility for the coming year.

For full year 2023, we expect Moody's revenue to grow in the mid-to-high single digit percent range. In addition, we are maintaining our previously communicated medium-term growth targets, with a reset of the base year to 2022.

And in what is clearly a fast-paced and ever-evolving landscape, we are investing with intent to grow and scale and to expand our capabilities to deliver on our mission, and that is providing best-in-class integrated perspectives on risk.

Turning to our full year financials: Moody's total revenue was \$5.5 billion. MA contributed approximately half of our total revenue for the first time in our history. As I mentioned, MA revenue grew by 15 percent and, excluding the negative impact

of foreign exchange, growth would have been 20 percent. Organic constant dollar growth for both MA revenue and ARR was 10 percent.

Overall, Moody's achieved a 42.6 percent adjusted operating margin with an adjusted diluted EPS of \$8.57.

Moving on, we remain laser-focused on the four strategic priorities I outlined in February 2021 in order to realize the potential of our global integrated risk assessment strategy. The success of this strategy has been made possible by our incredibly talented and committed employees – they've helped us launch new products, expand into new markets and improve the experience for our customers and it's wonderful to see our collective work achieve a number of important industry awards.

For the first time, Moody's earned the top ranking in the Chartis RiskTech100®. We placed ahead of hundreds of companies in the risk and compliance technology space, that ranges from household names in our sector to earlier-stage innovators. It's really a testament to the momentum of our risk assessment strategy and the quality of our portfolio of solutions. In addition, for the eleventh consecutive year, MIS was voted the Best Credit Rating Agency by Institutional Investor, it really demonstrates that we remain the clear Agency of Choice with investors.

In MIS, in 2022, we made several important investments to enhance our ratings presence in emerging markets and that includes the acquisition of our majority stake in the largest domestic rating agency in Africa and the further expansion of Moody's Local in Latin America. We also met the need for greater transparency into ESG risks, specifically as they relate to credit by rolling out more than 10,000 new ESG Credit Impact Scores across MIS.

Across MA, we enhanced a number of our workflow offerings through the integration of data and analytics and we created new products to meet evolving customer needs. In fact, newly developed, organic products contributed a significant portion of MA's sales growth in 2022. I'm going to touch on several of these in a few minutes.

Turning to the outlook for MIS, as mentioned last quarter, we expect that the factors that impacted issuance in 2022 to persist through the first half of 2023. The inflationary environment and pace of interest rate increases are still causing volatility in equity and debt markets, and the trajectory of economic growth in major economies remains uncertain.

It's going to take some time for these issues to resolve and for debt market activity to fully resume, but, refunding needs, pent-up issuance demand, and baseline economic growth all point to a recovery in issuance, which we expect to pick up in the second half of the year.

In this environment, we are proactively balancing our commitment to serve issuers and investors with the highest quality ratings, research and insights while at the same time prudently managing costs. We expect that the swift and decisive expense management actions we took in the fourth quarter will enable MIS' adjusted operating margin to return to the mid-fifties percent range in 2023.

Moving to MA, I want to highlight the impact of the significant investments that we've made in product development, sales and acquisitions. Over the last three years, these investments have helped us deliver \$1 billion dollars in additional recurring revenue.

And, on an organic constant currency basis, recurring revenue growth has been steadily improving each year: from 9.2 percent in 2020, to 9.7 percent in 2021 and 11.1 percent in 2022.

And, we are well-positioned for future growth as three of our businesses with revenue of more than \$100 million each delivered ARR growth in excess of 10 percent. In fact, our KYC & Compliance business, which is our fastest growing business, had ARR growth greater than 20 percent, and even some of our more established products such as Orbis and CreditView delivered high-single-digit ARR growth last year.

Let me give you a little bit of insight into how several of our newly-launched products are contributing to this growth.

I'm going to start with our KYC Lifecycle solution, which offers customers a user-friendly, configurable portal and risk engine. It enables fast and accurate checks that leverage our vast company, people and news datasets. This solution integrates the capabilities we have built and acquired over the past several years. It's opening the door to new markets and customer segments with a powerful new workflow tool for financial crime compliance and third-party due diligence.

And, it is resonating with our customers. In the fourth quarter, we completed one of our largest ever sales to a nonfinancial corporate customer in MA, with a combined offering supporting both customer and supplier vetting and screening capabilities.

We also recently launched an enhanced version of our Climate on Demand product, which integrates our very rich climate analytics from RMS and MA, broadening the scope of our capabilities in the Banking and Insurance sectors and beyond. Climate on Demand is part of our growing suite of physical and transition risk offerings which are gaining traction with our customers.

For example, we were awarded an important sales mandate late last year as a major US financial regulator selected us to help them better understand and measure the impact of climate on risks facing financial institutions and the broader economy. We were selected because of our ability to bring together some unique capabilities from across Moody's. That includes our ability to quantify the financial impact of climate risk, physical risk assessments of bank operations and exposures, as well as financed emissions.

In Banking, we extended our CreditLens origination solution into commercial real estate, and that's one of the largest asset classes on bank balance sheets. This product integrates our proprietary property data, market forecasts and credit analytics, to meet the specific needs of commercial real estate lenders. We are excited to partner on this product with one of the largest real estate lenders in the United States, and we are encouraged by the positive customer feedback and sales progress to date.

Together, these examples I think demonstrate how we are integrating capabilities, we're driving product innovation, and leveraging our very strong sales platform to build a robust pipeline as a foundation for continued growth.

Let me turn to the outlook for 2023. I want to highlight just a few of our guidance metrics. We project Moody's revenue will grow in the mid-to-high-single digit percent range and adjusted operating margin to be in the range of 44 to 45 percent. Adjusted diluted EPS is forecast to be in the range of \$9.00 to \$9.50.

For the medium-term, we are maintaining our previously communicated growth targets, with a reset of the base year to 2022.

In summary, we made strong progress in the fourth quarter to position the business for success, closing out what we'd characterize as both a challenging and productive year. Indeed, against the backdrop of macroeconomic headwinds, we have continued to unlock the growing potential of MA and reinforce the foundation for MIS to capture the immense opportunity we see once issuance levels recover.

We have entered 2023 in a position of strength. I have tremendous confidence in the growth potential of the business, as we continue to execute and invest in building Moody's as the leading provider of integrated perspectives on risk.

"Safe Harbor" Statement under the Private Securities Litigation Reform Act of 1995

Certain statements contained in this document are forward-looking statements and are based on future expectations, plans and prospects for Moody's business and operations that involve a number of risks and uncertainties. Such statements involve estimates, projections, goals, forecasts, assumptions and uncertainties that could cause actual results or outcomes to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements. Stockholders and investors are cautioned not to place undue reliance on these forward-looking statements. The forward-looking statements and other information in this document are made as of the date hereof, and Moody's undertakes no obligation (nor does it intend) to publicly supplement, update or revise such statements on a going-forward basis, whether as a result of subsequent developments, changed expectations or otherwise, except as required by applicable law or regulation. In connection with the "safe harbor" provisions of the Private Securities Litigation Reform Act of 1995, Moody's is identifying certain factors that could cause actual results to differ, perhaps materially, from those indicated by these forward-looking statements. Those factors, risks and uncertainties include, but are not limited to: the impact of general economic conditions, including inflation and related monetary policy actions by governments in response to inflation, on worldwide credit markets and economic activity and its effect on the volume of debt and other securities issued in domestic and/or global capital markets; the global impacts of each of the conflict in Ukraine and COVID-19 on volatility in world financial markets, on general economic conditions and GDP in the U.S. and worldwide, on global relations and on the Company's own operations and personnel; other matters that could affect the volume of debt and other securities issued in domestic and/or global capital markets, including regulation, credit quality concerns, changes in interest rates, inflation and other volatility in the financial markets, as well as the number of issuances of securities without ratings or securities which are rated or evaluated by non-traditional parties; the level of merger and acquisition activity in the U.S. and abroad; the uncertain effectiveness and possible collateral consequences of U.S. and foreign government actions affecting credit markets, international trade and economic policy, including those

related to tariffs, tax agreements and trade barriers; the impact of MIS's withdrawal of its credit ratings on Russian entities and of Moody's no longer conducting commercial operations in Russia; concerns in the marketplace affecting our credibility or otherwise affecting market perceptions of the integrity or utility of independent credit agency ratings; the introduction of competing products or technologies by other companies; pricing pressure from competitors and/or customers; the level of success of new product development and global expansion; the impact of regulation as an NRSRO, the potential for new U.S., state and local legislation and regulations; the potential for increased competition and regulation in the EU and other foreign jurisdictions; exposure to litigation related to our rating opinions, as well as any other litigation, government and regulatory proceedings, investigations and inquiries to which Moody's may be subject from time to time; provisions in U.S. legislation modifying the pleading standards and EU regulations modifying the liability standards applicable to credit rating agencies in a manner adverse to credit rating agencies; provisions of EU regulations imposing additional procedural and substantive requirements on the pricing of services and the expansion of supervisory remit to include non-EU ratings used for regulatory purposes; uncertainty regarding the future relationship between the U.S. and China; the possible loss of key employees and the impact of the global labor environment; failures or malfunctions of our operations and infrastructure; any vulnerabilities to cyber threats or other cybersecurity concerns; the timing and effectiveness of our restructuring programs, such as the 2022 - 2023 Geolocation Restructuring Program; currency and foreign exchange volatility; the outcome of any review by controlling tax authorities of Moody's global tax planning initiatives; exposure to potential criminal sanctions or civil remedies if Moody's fails to comply with foreign and U.S. laws and regulations that are applicable in the jurisdictions in which Moody's operates, including data protection and privacy laws, sanctions laws, anti-corruption laws, and local laws prohibiting corrupt payments to government officials; the impact of mergers, acquisitions, such as our acquisition of RMS, or other business combinations and the ability of Moody's to successfully integrate acquired businesses; the level of future cash flows; the levels of capital investments; and a decline in the demand for credit risk management tools by financial institutions. These factors, risks and uncertainties as well as other risks and uncertainties that could cause Moody's actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements are described in greater detail under "Risk Factors" in Part I, Item 1A of Moody's annual report on Form 10-K for the year ended December 31, 2021, and in other filings made by the Company from time to time with the SEC or in materials incorporated herein or therein. Stockholders and investors are cautioned that the occurrence of any of these factors, risks and uncertainties may cause the Company's

actual results to differ materially from those contemplated, expressed, projected, anticipated or implied in the forward-looking statements, which could have a material and adverse effect on the Company's business, results of operations and financial condition. New factors may emerge from time to time, and it is not possible for the Company to predict new factors, nor can the Company assess the potential effect of any new factors on it.